

How to calculate return on investment (ROI)

The basic formula works for many kinds of assets.

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Key takeaways

ROI, or return on investment, measures whether you made or lost money on an investment. In general, the higher the ROI, the better the return.

Often, the riskier the investment, the higher the potential ROI.

To calculate ROI, subtract the investment's total cost from the investment's proceeds or current value. Then, divide that amount by the investment's total cost and multiply the result by 100.

Calculating return on investment, or ROI, is one way to evaluate how an investment is performing. You're essentially comparing what you paid for an asset versus its current value. If ROI is positive, the investment is delivering a positive return—and the higher the ROI, the better the performance. If ROI is negative, you'd lose money if you sold the investment. Here's how to calculate ROI, and how it could help inform what next steps you take.

How to calculate ROI

There may be nuances to calculating ROI, depending on the investment type. But generally, the way to calculate ROI for an investment is to use a straightforward formula: You subtract an investment's total cost (including any fees you paid on top of the purchase price) from the total proceeds (including extra payments, like interest, in the case of bonds). Then divide that number by the investment's total cost. To convert the result into a percentage, multiply by 100.

ROI formula

Below is the basic formula to calculate ROI:

$(\text{Investment's total proceeds} - \text{investment's total cost}) \div \text{Investment's total cost}$

Take the difference between the 2 numbers and multiply it by 100 to get a percentage.

Here's an example: [Log in](#) If you bought 100 shares of an investment at \$20 per share, for a total of \$2,000. You did not pay extra fees. If you decide to sell the investment, and it's trading for \$26 per share, that would put the total proceeds (not just profit) at \$2,600. So what's your ROI?

ROI formula step 1

$$(2,600 [\text{investment proceeds}] - 2,000 [\text{investment cost}]) \div 2,000 [\text{investment cost}]$$

$$\text{And } 600 \div 2,000 = 0.3$$

ROI formula step 2

$$0.3 \times 100 = 30\% \text{ ROI}$$

ROI for stocks formula

When calculating ROI for stocks, be sure to factor in any dividends you may have received. These are periodic payments some companies issue to shareholders as a way of passing on a portion of their profits.

The ROI for stocks formula is:

$$((\text{Final stock price} - \text{initial stock price}) + \text{dividends}) \div \text{Initial stock price}$$

Here's an example: Let's say you buy a single stock share for \$50, and then the value increases to \$60 a year later. You also received a \$2 dividend within that time.

ROI for stocks formula step 1

$$((60 [\text{final stock price}] - 50 [\text{initial stock price}]) + 2 [\text{total dividend payments}]) \div 50 [\text{initial stock price}]$$

$$\text{And } 12 \div 50 = 0.24$$

ROI for stocks formula step 2

$$0.24 \times 100 = 24\% \text{ ROI}$$

Be sure to account for any trading costs or fees you may have paid along the way by adding those to the total cost number in the formula. (A more accurate analysis of your return on a stock would also account for any taxes owed on capital gains and/or dividends.)

ROI for bonds formula

The formula to calculate ROI for a bond requires knowing the coupon rate. That's the annual percentage of interest the issuer pays the bond owner, and it factors into your total proceeds.

Imagine you buy a bond for \$1,000 with a coupon rate of 6%. You'll earn \$60 annually ($1,000 \times 0.06 = 60$). Now let's say you can sell the bond for \$1,050 after holding it for 3 years and earning \$180 (\$60 per year for 3 years). Here's the ROI formula for bonds:

ROI for bonds formula step 1

$$((1,050 [\text{final bond price}] - 1,000 [\text{initial bond price}]) + 180 [\text{interest}]) \div 1,000 [\text{initial bond price}]$$

$$\text{And } 230 \div 1,000 = 0.23$$

ROI for bonds formula step 2

$$0.23 \times 100 = 23\% \text{ ROI (or about 7.7\% per year)}$$

A more accurate calculation would consider inflation if you held the bond for several years. One way to account for that is to subtract the inflation rate from your annual ROI. Let's say the current inflation rate is 3%. That means that in the example above, your real annual return would be around 4.7%.

Benefits of calculating ROI

Calculating ROI could allow you to do the following:

Make more informed investment decisions

Calculating ROI could help you decide what to invest in, whether that's stocks, bonds, mutual funds, real estate, gold, or any other asset. Even though past performance can't guarantee future results, a long track record of high ROI might motivate you to invest in more of the same or similar assets. Keep in mind that the tradeoff of a high ROI is higher risk. Likewise, specific investments with low or negative ROI might spur you to direct your money elsewhere.

Keep your portfolio aligned with your investment strategy

As investments lose or gain value, the changed proportion of your total portfolio you hold in each investment type might not fit your strategy anymore. Rebalancing involves reviewing your holdings, then buying and selling assets to maintain your desired allocation that's aligned with your goals, risk tolerance, and time horizon. Learn more about rebalancing in 4 steps.

The basic formula to calculate ROI isn't perfect. To help you better understand how your investments are performing, you could:

Account for inflation

Inflation can eat into your investment gains over time. It takes an extra step to account for inflation's effect over the time you've held the investment to get a more accurate ROI.

Adjust for taxes

Ignoring taxes on interest, dividends, or capital gains can make returns look better than they really are. ROI also depends on where you hold an investment. For example, a taxable bond with an attractive ROI in a brokerage account could deliver a higher after-tax return inside a tax-advantaged retirement account.

Build in holding periods

This is important if you're comparing the ROI of investments you've held for different lengths of time. For instance, if the ROI of an investment you've had for 1 year is 5%, and the ROI for another you've had for 10 years is 10%, it may seem like the second investment performed better. But actually, the latter's annual return is lower.

Consider your risk tolerance

Some investments carry more risk than others. These could potentially have a higher ROI, but the risk might not be worth it to you or match your personal tolerance levels. For instance, the ROI on money held in a traditional savings account may be low, but so is your risk. On the flip side, the potential for returns on stocks in a brokerage account could be much higher, but you'll likely experience market ups and downs.

Factor in your goals

Your investment strategy should be built around your unique financial goals, financial situation, time horizon, and risk tolerance. From there, you can choose assets to help move you in the right direction. For some, that could mean investing in companies aligned with their values or in bonds that support projects they care about. In other words, investing decisions are about more than a single ROI number.

What is a good ROI?

A good return on investment depends on the investment type, overall financial environment, and risk. Consider consulting historical averages for the investment type and weighing those against current performance for an idea of how strong the ROI is. For instance, the S&P 500®, widely considered as a gauge for total stock market performance, has had an average annual return of over 10% since it started tracking 500 companies in 1957 through 2024. As a result, some investors may consider an ROI above that benchmark strong for stocks and mutual funds composed of stocks. However, remember that a higher ROI is associated with more risk, so bonds' relatively lower historical ROI could sound better to someone with lower risk tolerance.

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